

Mindteck Investor Presentation

THIRD QUARTER ENDED DECEMBER 31, 2018

Safe Harbor

Certain statements in this release concerning our future growth prospects may be forward-looking statements, which involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding fluctuations in earnings, our ability to manage growth, intense competition in IT services including those factors which may affect our cost advantage, wage increases, our ability to attract and retain highly skilled professionals, time and cost overruns on fixed-price, fixed-time frame contracts, client concentration, restrictions on immigration, our ability to manage our international operations, reduced demand for technology in our key focus areas, disruptions in telecommunication networks, our ability to successfully complete and integrate potential acquisitions, liability for damages on our service contracts, withdrawal of governmental fiscal incentives, political instability, legal restrictions on raising capital or acquiring companies outside India, unauthorized use of our intellectual property, and general economic conditions affecting our industry. Mindteck may, from time to time, make additional written and oral forward-looking statements, including our reports to shareholders. The company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the company.

Financial Performance



Performance **Highlights**

Q3 2018-19:

- USD Revenue at \$10.05 million, dip of 4.6% QoQ and 9.8% YoY.
- INR Revenue at ₹700.5 million, dip of 5.99% QoQ and 2.4% YoY.
- EBITDA at ₹(6.8) million as against ₹13.98 million in September 2018 & ₹6.66 million in December 2017.
- Profit After Tax ("PAT") at ₹(12.00) million as against ₹8.66 million in September 2018 & ₹3.82 million in December 2017.

FY 2018-19:

- USD Revenue for the nine months ended December 31, 2018 at \$31.4 million, dip of 10.8% as against the corresponding period in the preceding year.
- INR Revenue at ₹2,191.1 million dip of 2.6% as against the corresponding period in the preceding year.
- EBITDA at ₹21.8 million as against ₹43.65 million as against the corresponding period in the preceding year.
- PAT at ₹0.7 million as against ₹22.5 million as against the corresponding period in the preceding year.

Performance Summary

SEQUENTIAL Q3 FY 19 Vs. Q2 FY 19 (Unaudited)

Amount in ₹ million				
SL #	Particulars	Q3 19	Q2 19	Change %
1	Income:			
	a) Revenue	701	745	(6)%
	b) Other income	3	15	(83)%
	Total Income (a+b)	703	761	(8)%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	123	119	3%
	b) Employee benefits expense	497	526	(6)%
	c) Finance cost	4	4	(17)%
	d) Depreciation and amortization	4	7	(34)%
	e) Other expenses	87	86	1%
	Total Expenses (a+b+c+d+e)	715	742	(4)%
3	Profit/ (Loss) Before Tax ("PBT") (1-2)	(12)	19	(164)%
4	Tax expense	(0)	10	(101)%
	Profit/ (Loss) After Tax ("PAT") (3-4)	(12)	9	(243)%

Performance Summary

YoY Q3 FY 19 Vs. Q3 FY 18 (Unaudited)

Amount in ₹ million

SL #	Particulars	Q3 19	Q3 18	Change %
1	Income:			
	a) Revenue	701	717	(2.4)%
	b) Other income	3	4	(28.8)%
	Total Income (a+b)	703	721	(2.5)%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	123	129	(4.1)%
	b) Employee benefits expense	497	504	(1.5)%
	c) Finance cost	4	2	114.8%
	d) Depreciation and amortization	4	3	39.6%
	e) Other expenses	87	78	12.0%
	Total Expenses (a+b+c+d+e)	715	715	(0.0)%
3	Profit/ (Loss) Before Tax and exceptional item ("PBT") (1-2)	(12)	6	(308.7)%
4	Exceptional Item	-	-	0.0%
5	Profit/ (Loss) Before Tax (3-4)	(12)	6	(305.1)%
6	Tax expense	(0)	2	(105.3)%
7	Profit/ (Loss) After Tax ("PAT") (5-6)	(12)	4	(400.4)%

Performance Summary

YoY FY 19 Vs. FY 18 (Unaudited)

Amount in ₹ million

SL #	Particulars	Q3 FY 19	Q3 FY 18	Change %
1	Income:			
	a) Revenue	2,191	2,249	(2.6)%
	b) Other income	23	16	40.5%
	Total Income (a+b)	2,214	2,265	(2.3)%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	363	424	(14.5)%
	b) Employee benefits expense	1,544	1,523	1.4%
	c) Finance cost	10	4	170.4%
	d) Depreciation and amortization	15	9	65.3%
	e) Other expenses	263	258	1.7%
	Total Expenses (a+b+c+d+e)	2,195	2,219	(1.1)%
3	Profit/ (Loss) Before Tax and exceptional item ("PBT") (1-2)	19	47	(59.5)%
4	Exceptional Item	-	16	(100.0)%
5	Profit/ (Loss) Before Tax (3-4)	19	30	(37.9)%
6	Tax expense	18	8	129.0%
7	Profit/ (Loss) After Tax ("PAT") (5-6)	1	22	(96.9)%

Mindteck Fact Sheet



Fact Sheet

FINANCIAL PERFORMANCE HIGHLIGHT

In ₹ Million

Particulars		Q3 2019	Q2 2019	Q3 2018	Growth %		FY 18
					QoQ	YoY	
	Reveue	701	745	717	(5.99)%	(2.4)%	2,968
	EBITDA	(7)	14	7	(148.6)%	(202.0)%	13
	PAT	(12)	9	4	(237.4)%	(400.1)%	(57)

In \$ Million

Particulars		Q3 2019	Q2 2019	Q3 2018	Growth %		FY 18
					QoQ	YoY	
	Reveue	10.1	10.5	11.1	(4.6)%	(9.8)%	46.00
	EBITDA	(0.1)	0.2	0.1	(149.3)%	(194.2)%	0.20
	PAT	(0.2)	0.1	0.1	(239.4)%	(377.1)%	(0.88)

USD/INR

Exchange Rate		Q3 2019	Q2 2019	Q3 2018	FY 18
	Average (P&L)	69.7	70.7	64.3	64.5
	Close (BS)	69.7	70.7	64.3	65.1

Fact Sheet

REVENUE METRICS

Geography		Q3 2019	Q2 2019	Q3 2018	FY 18
	USA	71%	70%	73%	72%
	IMEA	6%	7%	6%	6%
	Europe	10%	8%	7%	7%
	APAC	13%	14%	14%	14%

Delivery Centers		Q3 2019	Q2 2019	Q3 2018	FY 18
	USA	71%	70%	72%	72%
	India	4%	6%	3%	4%
	Singapore	7%	8%	10%	9%
	Malaysia	6%	6%	5%	5%
	UK	6%	7%	6%	6%
	Germany	4%	2%	1%	1%
	Baharin	2%	1%	2%	2%

Project Type		Q3 2019	Q2 2019	Q3 2018	FY 18
	Time & Material	99%	96%	98%	98%
	Fixed	1%	4%	2%	2%

Services		Q3 2019	Q2 2019	Q3 2018	FY 18
	Managed Services ("MS")	32%	33%	29%	29%
	Professional Services("PS")	68%	67%	71%	71%

Fact Sheet

REVENUE METRICS

Revenue Mix - Efforts		Q3 2019	Q2 2019	Q3 2018	FY 18
	Onsite	67%	65%	72%	72%
	Offshore	33%	35%	28%	28%

Revenue Mix - Business Offerings		Q3 2019	Q2 2019	Q3 2018	FY 18
	Talent Management	60%	58%	62%	62%
	Product Engineering	24%	25%	24%	24%
	Information Technology Services	15%	16%	14%	14%
	Smart City Services	1%	1%	0%	0%

Fact Sheet

CLIENT METRICS

Clients		Q3 2019	Q2 2019	Q3 2018	FY 18
	Top 5	63%	62%	72%	72%
	Top 10	79%	75%	80%	79%

Other details		Q3 2019	Q2 2019	FY 18
	No of Clients	83	87	115
	1 Mn +	3	3	3
	5 Mn +	1	1	1
	10 Mn +	1	1	1

EMPLOYEE METRICS

PEOPLE		Q3 2019	Q2 2019	FY 18
	<u>Total Headcount</u>	1,035	1,059	1,052
	Technical	845	876	882
	Support	190	183	170



**If you have any questions, or need assistance,
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